Chapter 12
Statement of Cash Flows

ANSWERS TO QUESTIONS

1. The income statement reports revenues earned and expenses incurred during a period of time. It is prepared on an accrual basis. The balance sheet reports the assets, liabilities, and equity of a business at a point in time. The statement of cash flows reports cash receipts and cash payments of a business, from three broad categories of business activities: operating, investing, and financing.

2. The statement of cash flows reports cash receipts and cash payments from three broad categories of business activities: operating, investing, and financing. While the income statement reports operating activities, it reports them on the accrual basis: revenues when earned, and expenses when incurred, regardless of the timing of the cash received or paid. The statement of cash flows reports the cash flows arising from operating activities. The balance sheet reports assets, liabilities, and equity at a point in time. The statement of cash flows and related schedules indirectly report changes in the balance sheet by reporting operating, investing, and financing activities during a period of time, which caused changes in the balance sheet from one period to the next. In this way, the statement of cash flows reports information to link together the financial statements from one period to the next, by explaining the changes in cash and other balance sheet accounts, while summarizing the information into operating, investing, and financing activities.

3. Cash equivalents are short-term, highly liquid investments that are purchased within three months of the maturity date. The statement of cash flows does not separately report the details of purchases and sales of cash equivalents because these transactions affect only the composition of total cash and cash equivalents. The statement of cash flows reports the change in total cash and cash equivalents from one period to the next.

4. The major categories of business activities reported on the statement of cash flows are operating, investing, and financing activities. Operating activities of a business arise from the production and sale of goods and/or services. Investing activities arise from acquiring and disposing of property, plant, and equipment and investments. Financing activities arise from transactions with investors and creditors.

5. Cash inflows from operating activities include cash sales, collections on accounts and notes receivable arising from sales, dividends on investments, and interest on loans to others and investments. Cash outflows from operating activities include payments to suppliers and employees, and payments for operating

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expenses, taxes, and interest.

6. Depreciation expense is added to net income to adjust for the effects of a noncash expense that was deducted in determining net income. It does not involve an inflow of cash.

7. Cash expenditures for purchases and salaries are not reported on the statement of cash flows, indirect method, because that method does not report cash inflows and outflows for each operating activity. Rather, it reports only net income, changes in accounts payable and wages payable, and net cash flow from operating activities.

8. The $50,000 increase in inventory must be used in the statement of cash flows' calculations because it increases the outflow of cash all other things equal. It is used as follows:

   Direct method—added to cost of goods sold, accrual basis to compute cost of goods sold, cash basis. (The other related adjustment would involve accounts payable.)

   Indirect method—subtracted from net income as a reconciling item to obtain cash flows from operating activities.

9. The two methods of reporting cash flows from operating activities are the direct method and the indirect method. The direct method reports the gross amounts of cash receipts and cash payments arising from the revenues and expenses reported on the income statement. The indirect method reports the net amount of cash provided or used by operating activities by reporting the adjustments to net income for the net effects of noncash revenues and expenses and changes in accruals and deferrals. The two approaches differ in the way they report cash flows from operating activities, but net cash provided by operating activities is the same amount.

10. Cash inflows from investing activities include cash received from the sale of property, plant, and equipment, intangibles, and investments, the maturity value of bond investments, and principal collections on certain notes receivable. Cash outflows from investing activities include cash payments to purchase property, plant, and equipment, intangibles, and investments and to make certain loans.

11. Cash inflows from financing activities include cash received from issuing stock, the sale of treasury stock, and borrowings. Cash outflows from financing activities include cash payments for dividends, the purchase of treasury stock, and principal payments on borrowings.

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12. Noncash investing and financing activities are activities that would normally be classified as investing or financing activities, except no cash was received or paid. Examples of noncash investing and financing include the purchase of assets by issuing stock or bonds, the repayment of loans using noncash assets, and the conversion of bonds into stock. Noncash investing and financing activities are not reported in the statement of cash flows because there was no cash received or cash paid; however, the activities are disclosed in a separate schedule beneath the cash flow statement or in the financial statement notes.

13. When equipment is sold, any cash received is reported as a cash inflow from investing activities. When using the indirect method, a gain on sale of equipment must be reported as a deduction from net income because the gain was included in net income but did not provide any cash from operating activities. When using the indirect method, the loss on sale of equipment is added to net income because the loss was included in net income but did not require an operating cash outflow.

ANSWERS TO MULTIPLE CHOICE

1. d	2. d	3. a	4. c	5. a
6. b	7. d	8. b	9. d	10. c

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Authors' Recommended Solution Time

(Time in minutes)

Mini-exercises		*Exercises*		*Problems*		*Alternate Problems*		*Cases and Projects*	
No.	*Time*	*No.*	*Time*	*No.*	*Time*	*No.*	*Time*	*No.*	*Time*
1	5	1	10	1	35	1	35	1	20
2	5	2	10	2	35	2	35	2	15
3	5	3	10	3	35	3	35	3	25
4	5	4	15	4	40	4	40	4	45
5	5	5	15	5	40	5	40	5	35
6	5	6	15	6	45	6	45	6	35
7	5	7	15					7	*
		8	20			*Continuing Problem*			
		9	20						
		10	20			1	40		
		11	10						
		12	15						
		13	10						
		14	20						
		15	25						
		16	20						
		17	25						
		18	30						
		19	25						
		20	15						
		21	15						
		22	20						
		23	35						
		24	35						

* Due to the nature of these cases and projects, it is very difficult to estimate the amount of time students will need to complete the assignment. As with any open-ended project, it is possible for students to devote a large amount of time to these assignments. While students often benefit from the extra effort, we find that some become frustrated by the perceived difficulty of the task. You can reduce student frustration and anxiety by making your expectations clear. For example, when our goal is to sharpen research skills, we devote class time discussing research strategies. When we want the students to focus on a real accounting issue, we offer suggestions about possible companies or industries.

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MINI–EXERCISES

M12–1.

F	1.	Payments for purchases of treasury stock. (This involves repurchase of its own stock.)
F	2.	Principal payment on long-term debt.
I	3.	Proceeds from sales of properties and other assets.
O	4.	Inventories (decrease).
O	5.	Payables and other current liabilities (decrease).
O	6.	Depreciation and amortization.

M12–2.

+	1.	Accrued expenses (increase).
–	2.	Inventories (increase).
+	3.	Accounts receivable (decrease).
–	4.	Accounts payable (decrease).
+	5.	Depreciation, depletion, and amortization.

M12–3.

O	1.	Receipts from customers.
F	2.	Dividends paid to equity holders of Telstra.
F	3.	Payment for share buy-back (repurchase of company stock).
I	4.	Proceeds from sale of property, plant, and equipment.
F	5.	Repayments of borrowings (bank debt).
O	6.	Income taxes paid.

M12–4.

$$\text{Quality of income ratio} = \frac{\text{Cash flow from operations}}{\text{Net income}} = \frac{\$86{,}500}{\$102{,}000} = \underline{\underline{0.85}}\ (85\%)$$

The quality of income ratio measures the portion of income that was generated in cash. A low ratio indicates a likely need for external financing.

M12–5.

Investing Activities

Sale of used equipment	$ 400
Purchase of short-term investments	(635)
Cash used in investing activities	$ (235)

M12–6.

Financing Activities

Additional short-term borrowing from bank	$1,200
Dividends paid	(700)
Cash provided by financing activities	$ 500

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M12–7.

Yes	Purchase of building with mortgage payable.
No	Additional short-term borrowing from bank.
No	Dividends paid in cash.
Yes	Purchase of equipment with short-term investments.

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EXERCISES

E12–1.

F	1. Dividends paid.
F	2. Repayments of short-term borrowings.
O	3. Depreciation and amortization.
F	4. Proceeds from reissuance of treasury shares to employees.
O	5. [Change in] Accounts payable and other liabilities.
NA	6. Cash collections from customers.
I	7. Purchase of investments.
O	8. Net income.
I	9. Purchase of property, plant, and equipment.
O	10. Increase in receivables and other assets.

E12–2.

O	1. [Change in] Accounts payable.
O	2. Depreciation and amortization.
O	3. [Change in] Inventories.
I	4. Maturities and sales of investments.
F	5. Proceeds from debt.
NA	6. Payments to suppliers and employees.
I	7. Proceeds from sale of facilities, land, and other assets.
O	8. [Change in] Deferred revenue.
F	9. Repurchases of Dell Common Stock.
O	10. Net income

E12–3.

I	1. Proceeds from the sale of property, plant and equipment.
O	2. Net interest paid.
I	3. Payments for intangible assets.
O	4. Payments to suppliers and employees.
F	5. Proceeds from borrowings.
F	6. Dividends paid.
O	7. Income tax paid.
O	8. Receipts from customers.
I	9. Payments for the purchase of investments.
F	10. Proceeds from the issue of equity securities.

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E12–4.

1.	NE	Salaries expense Accrued salaries payable
2.	– NCFI	Plant and equipment Cash
3.	+ NCFO	Cash Accounts receivable
4.	– NCFO	Interest expense Cash
5.	– NCFF	Retained earnings Cash
6.	+ NCFI	Cash Accumulated depreciation Plant and equipment
7.	– NCFO	Prepaid expenses (rent) Cash
8.	– NCFF	Short-term debt Cash
9.	NE	Inventory Accounts payable
10.	– NCFO	Accounts payable Cash

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E12–5.

1.		NE	Inventory Accounts payable
2.	–	NCFO	Prepaid expenses (rent) Cash
3.		NE	Plant and equipment Note payable
4.		NE	Expense Prepaid expense
5.	–	NCFO	Income tax expense Cash
6.	–	NCFI	Investment securities Cash
7.	+	NCFF	Cash Common stock Additional paid-in capital
8.	+	NCFO	Cash Accounts receivable
9.	+	NCFI	Cash Plant and equipment (net)
10.	+	NCFF	Cash Long-term debt

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E12–6.

Comparison of Statement of Cash Flows--direct and indirect reporting

Cash Flows (and related changes)	*Statement of Cash Flows Method*	
	Direct	*Indirect*
1. Accounts payable, increase or decrease		X
2. Payments to employees	X	
3. Cash collections from customers	X	
4. Accounts receivable, increase or decrease		X
5. Payments to suppliers	X	
6. Inventory, increase or decrease		X
7. Wages payable, increase or decrease		X
8. Depreciation expense		X
9. Net income		X
10. Cash flows from operating activities	X	X
11. Cash flows from investing activities	X	X
12. Cash flows from financing activities	X	X
13. Net increase or decrease in cash during the period	X	X

The direct method reports cash flows from operating activities individually for each major revenue and expense. In contrast, the indirect method reports a reconciliation of net income to cash flow from operating activities. The two methods report the investing and financing activities in exactly the same way.

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E12–7.

Cash flows from operating activities—indirect method

Net income	$23,125
Depreciation expense	6,000
Accounts receivable decrease ($10,500 – $12,000)	1,500
Inventory increase ($13,000 – $8,000)	(5,000)
Salaries payable increase ($2,250 – $800)	1,450
Net cash provided by operating activities	$27,075

E12–8.

Req. 1

Cash flows from operating activities—indirect method

Net loss	$ (6,400)
Depreciation expense	4,500
Amortization of copyrights	200
Accounts receivable decrease ($8,000 – $13,000)	5,000
Salaries payable increase ($12,000 – $1,000)	11,000
Other accrued liabilities decrease ($1,000 – $2,800)	(1,800)
Net cash provided by operating activities	$12,500

Note: The purchase of the machine does not affect cash flows from operating activities.

Req. 2

The first reason for the net loss was the depreciation expense. This is a non-cash expense. Depreciation expense, along with decreased working capital requirements (current assets - current liabilities), turned the net loss into positive operating cash flow from operations. The reasons for the difference between net income and cash flow are important because they help the financial analyst determine if the trends are sustainable or whether they represent one-time events.

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E12–9.

Req. 1

Cash flows from operating activities—indirect method (in millions)

Net loss	$(13,402)
Depreciation, amortization, and impairments	34,790
Decrease in receivables	1,245
Increase in inventories	(5,766)
Decrease in accounts payable	(445)
Cash flows provided from operating activities	$ 16,422

Note: The additions to equipment do not affect cash flows from operating activities.

Req. 2

The primary reason for the net loss was the depreciation, amortization, and impairments expense. These represent non-cash expenses. Large depreciation, amortization, and impairments expense, offset partially by increased working capital requirements, turned the media company's net loss into positive operating cash flow. The reasons for the difference between net income and cash flow from operations are important because they help the financial analyst determine if the trends are sustainable or whether they represent one-time events.

E12–10.

Cash flows from operating activities—indirect method

Net income	$14,000
Depreciation expense	8,500
Loss on sale of equipment	2,500
Accounts receivable decrease	10,000
Salaries payable increase	11,000
Other accrued liabilities decrease	(2,000)
Net cash provided by operating activities	$44,000

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E12–11.

Account	*Change*
Receivables	Increased
Inventories	Increased
Other current assets	Decreased
Payables	Increased

E12–12.

Account	*Change*
Accounts receivable	Decreased
Inventories	Increased
Other current assets	Increased
Accounts payable	Decreased
Deferred revenue	Increased
Other current liabilities	Increased

E12–13.

Req. 1

Cash flows from investing activities	**Year 1**	**Year 2**
Proceeds from sale of equipment	$17,864	$12,163

The amount reported in the cash flow from investing activities section of the statement of cash flows is the total cash proceeds from the sale of the equipment, regardless of the amount of any gain or loss.

Req. 2

Any gain on the sale of the equipment is subtracted from net income to avoid double counting of the gain. Any loss on the sale of the equipment is added to avoid double counting of the loss.

Cash flows from operating activities	**Year 1**	**Year 2**
Loss (Gain) on sale of equipment	$16,751	$(2,436)

Computations:

	Year 1	**Year 2**
Plant and equipment (at cost)	$75,000	$13,500
Less: Accumulated depreciation	40,385	3,773
Net book value	34,615	9,727
Cash Proceeds – Net book value = Gain (Loss) on sale	(16,751)	2,436

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E12–14.

Req. 1

Equipment				Accumulated Depreciation			
Beg. Bal.	82,500					43,000	Beg. Bal.
		10,500*	Sold	Sold	3,500*	1,500	Dep. Exp.
End. Bal.	72,000					41,000	End. Bal.

*plug figures

Cost of equipment sold = $10,500

Accumulated depreciation on sold equipment = $3,500

Book value of sold equipment	$ 7,000
Less: Loss on sale (given)	(2,300)
Cash received from sale	$ 4,700

Req. 2

Any gain on the sale of the equipment is subtracted from net income to avoid double counting of the gain. Any loss on the sale of the equipment is added to avoid double counting of the loss. In this case, the loss of $2,300 would be added to net income.

Req. 3

The amount of cash received is added in the computation of Net Cash Flows from Investing Activities, regardless of whether the sale results in a gain or loss. The cash inflow of $4,700 would be added.

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E12–15.

Req. 1

Cash flows from operating activities—indirect method (dollars in millions)

Net income	$6,462
Depreciation and amortization	2,737
Increase in accounts receivable	(666)
Increase in inventory	(331)
Increase in prepaid expense	(27)
Increase in accounts payable	520
Decrease in taxes payable	(340)
Increase in other current liabilities	589
Cash flows provided from operating activities	$8,944

Note: The cash dividends paid and share repurchases are financing activities and do not affect cash flows from operating activities.

Req. 2

$$\text{Quality of income ratio} = \frac{\text{Cash flow from operations}}{\text{Net income}} = \frac{\$8{,}944}{\$6{,}462} = 1.38$$

Req. 3

The reason the quality of income ratio was greater than one was primarily because of large non-cash depreciation charges.

E12–16.

The investing and financing sections of the statement of cash flows for Oering's Furniture:

Cash flows from investing activities:		
Purchase of property, plant & equipment	$(2,071)	
Sale of marketable securities	219	
Proceeds from sale of property, plant & equipment	6,894	
Net cash flows from investing activities		$5,042
Cash flows from financing activities:		
Borrowings under line of credit	$1,117	
Proceeds from issuance of stock	11	
Payments on long-term debt	(46)	
Payment of dividends	(277)	
Purchase of treasury stock	(2,583)	
Net cash flows from financing activities		$(1,778)

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E12–17.

SHALLOW WATERS COMPANY
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:	
Net income	$ 700
Adjustments to reconcile net income to net cash flow from operating activities:	
Increase in accounts receivable	(500)
Decrease in prepaid expenses	150
Decrease in wages payable	(450)
Net cash provided by (used for) operating activities	(100)
Cash flows from investing activities:	
Cash paid for equipment	(700)
Net cash provided by (used for) investing activities	(700)
Cash flows from financing activities:	
Cash proceeds from issuing stock	300
Net cash provided by financing activities	300
Net increase (decrease) in cash during the year	(500)
Cash balance, January 1	4,500
Cash balance, December 31	$4,000

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E12–18.

COMPUTER SERVICE AND REPAIR
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:	
Net income	$ 300
Adjustments to reconcile net income to net cash flow from operating activities:	
Depreciation	50
Increase in accounts receivable	(200)
Increase in prepaid expenses	(50)
Decrease in wages payable	(750)
Net cash used for operating activities	(650)
Cash flows from investing activities:	
Cash paid for equipment	(350)
Net cash used for investing activities	(350)
Cash flows from financing activities:	
Cash proceeds from short-term borrowing	300
Net cash provided by financing activities	300
Net increase (decrease) in cash during the year	(700)
Cash balance, January 1, current year	4,000
Cash balance, December 31, current year	$3,300

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E12–19.

Req. 1

The investing and financing sections of the statement of cash flows for Gibraltar Industries:

Cash flows from investing activities:		
Acquisitions (investments in other companies)	(313,686)	
Proceeds from sale of other equity investments	2,000	
Purchases of property, plant, and equipment	(13,068)	
Net proceeds from sale of property and equipment	77	
Net cash provided by (used in) investing activities		(324,677)
Cash flows from financing activities:		
Long-term debt reduction	(6,656)	
Proceeds from long-term debt	85,000	
Net proceeds from issuance of common stock	1,119	
Net cash provided by (used in) financing activities		79,463

Req. 2

$$\text{Capital acquisitions ratio} = \frac{\text{Cash flow from operations}}{\text{Cash paid for plant \& equipment}} = \frac{\$89{,}104}{\$13{,}068} = 6.82$$

The capital acquisitions ratio measures the company's ability to finance plant and equipment purchases from operations. Since this amount was more than 1 (6.82), the company has generated more than enough to finance plant and equipment purchases from operations.

Req. 3

Gibraltar's management is using the cash proceeds from its newly issued long-term debt, along with the excess cash generated by operations (see Req. 2) mainly to acquire (make investments in) other companies.

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E12–20.

Req. 1

Both of these transactions are considered noncash investing and financing activities, and are not reported on the statement of cash flows. The transactions must be disclosed in a separate schedule beneath the statement of cash flows or in the footnotes. The information disclosed in the separate schedule would state:

a. Equipment valued at $36,000 was acquired by giving a $15,000, 12%, two-year note and 500 shares of common stock with a market value of $21,000.
b. A machine valued at $12,700 was acquired by exchanging land with a book value of $12,700.

Req. 2

The capital acquisitions ratio measures the company's ability to finance plant and equipment purchases from operations. Since neither of these transactions enters the numerator or denominator of the ratio, they would have no effect. Many analysts believe that these transactions represent important capital acquisitions, and thus should be included in the denominator of the ratio to indicate what portion of all (not just cash) acquisitions are being financed from operations.

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E12–21.

Cash flows from operating activities—direct method

Cash collected from customers[1]	$ 94,500
Cash payments to suppliers of inventory[2]	(56,875)
Cash payments to employees [3]	(10,550)
Net cash provided by operating activities	$ 27,075

1. Cash collected from customers = Sales revenue + Decrease in Accounts receivable
   $93,000 + $1,500 = $94,500
2. Cash payments to suppliers of inventory = Cost of goods sold + Increase in Inventory
   $51,875 + $5,000 = $56,875
3. Cash payments to employees = Salaries expense – Increase in Salaries payable
   $12,000 – $1,450= $10,550

E12–22.

Req. 1

Cash flows from operating activities—direct method

Cash collected from customers[1]	$ 59,000
Cash payments to employees[2]	(35,000)
Cash paid for other expenses[3]	(11,500)
Net cash provided by operating activities	$ 12,500

1. Cash collected from customers = Sales revenue + Decrease in Accounts receivable
   $54,000 + $5,000 = $59,000
2. Cash payments to employees = Salaries expense – Increase in Salaries payable
   $46,000 – $11,000 = $35,000
3. Cash paid for other expenses = Other expenses + Decrease in Other accrued liabilities
   $9,700 + $1,800 = $11,500

Req. 2

The first reason for the net loss was the depreciation expense. This is a non-cash expense. Depreciation expense, along with decreased working capital requirements (current assets - current liabilities), turned the net loss into positive operating cash flow. The reasons for the difference between net income and cash flow are important because they help the financial analyst determine if the trends are sustainable or whether they represent one-time events.

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E12–23.

Req. 1

Cash flows from operating activities—direct method

Cash collected from customers[1]	$151,600
Cash payments to employees	(55,400)
Cash payments to suppliers[2]	(53,520)
Cash payments for other expenses[3]	(11,702)
Cash payments for income tax[4]	(220)
Net cash provided by operating activities	$ 30,758

1. Cash collected from customers = Revenues + Decrease in Accounts receivable
   $150,800 + $800 = $151,600
2. Cash payments to suppliers: Cost of sales – Decrease in Inventories – Increase in Accounts payable
   $55,500 – $230 – $1,750 = $53,520
3. Cash payments for other expenses = Other expense + Increase in Prepaid expenses + Decrease in Accrued liabilities
   $9,600 + $1,500 + $602 = $11,702
4. Cash payments for income tax = Income tax expense – Increase in income taxes payable
   $1,500 – $1,280 = $220

Req. 2

The primary reason for the net loss was the depreciation and amortization expenses, which are noncash expenses. A large depreciation and amortization expense, along with decreased working capital requirements, turned Trumansburg's net loss into positive operating cash flow. The reasons for the difference between net income and cash flow from operations are important because they help the financial analyst determine if the trends are sustainable or whether they represent one-time events.

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E12–24

Req. 1

Panel A: Changes in Cash Account			
	Cash (A)		
Operating			
(1) Net Income	20,200	7,000	(3) Inventory
(2) Depreciation Expense	3,000	3,000	(4) Accounts Payable
(6) Income Taxes Payable	1,500	1,000	(5) Wages Payable
Net cash provided by operating activities	13,700		
Investing			
(7) Sale of Equipment	6,000	15,000	(8) Purchased Investment
		9,000	**Net cash used in investing activities**
Financing			
(9) Proceeds from stock issuance	6,000	12,000	(10) Payment of dividends
		6,000	**Net cash used by financing activities**
		1,300	**Net decrease in cash and cash equivalents**

Panel B: Changes in Non-cash Accounts

Accounts Receivable (A)			
Beg. bal.	22,000		
	No change		
End. bal.	22,000		

Merchandise Inventory (A)			
Beg. bal.	68,000		
(3) Increase	7,000		
End. bal.	75,000		

Accounts Payable (L)			
		Beg. bal.	17,000
(4) Decrease	3,000		
		End. bal.	14,000

Wages Payable (L)			
		Beg. bal.	2,500
(5) Decrease	1,000		
		End. bal.	1,500

Income Taxes Payable (L)			
		Beg. bal.	3,000
		(6) Increase	1,500
		End. bal.	4,500

Equipment (A)			
Beg. bal.	114,500		
Purchases	0	(7) Disposals	21,000
End. bal.	93,500		

Accumulated Depreciation (XA)			
		Beg. bal.	32,000
(7) Disposals	15,000	(2) Depreciation	3,000
		End. bal.	20,000

Investments (A)			
Beg. bal.	0		
(8) Purchases	15,000	Disposals	0
End. bal.	15,000		

Contributed Capital (SE)			
		Beg. bal.	100,000
Stock repurchased	0	(9)Stock issued	6,000
		End. bal.	106,000

Retained Earnings (SE)			
		Beg. bal.	16,500
(10) Dividends	12,000	(1) Net income	20,200
		End. bal.	24,700

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E12–24 (continued)

Req. 2

GOLFGEAR & MORE, INC.
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:	
Net income	$ 20,200
Depreciation expense	3,000
Changes in current assets and current liabilities:	
Inventory	(7,000)
Accounts Payable	(3,000)
Wages Payable	(1,000)
Income Taxes Payable	1,500
Cash flows provided by operating activities	13,700
Cash flows from investing activities:	
Purchase of investment	(15,000)
Proceeds from sale of equipment	6,000
Cash flows provided by (used in) investing activities	(9,000)
Cash flows from financing activities:	
Issuance of common stock	6,000
Dividends paid	(12,000)
Cash flows provided by (used in) financing activities	(6,000)
Net increase (decrease) in cash	(1,300)
Cash, beginning of year	20,500
Cash, end of year	$ 19,200

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PROBLEMS

P12–1.

Req.1

Balance sheet at December 31

Related Cash Flow Section		Current Year	Prior Year	Change		
Δ in Cash	Cash	$ 73,250	$ 63,500	$ +9,750	10	Net increase in Cash
O	Accounts receivable	15,250	21,350	-6,100	3	Add to net income the decrease in A/R
O	Merchandise inventory	23,450	18,000	+5,450	4	Subtract from net income the increase in Inventory
I	Property and equipment	209,250	160,350	+48,900	7	Payment in cash for equipment
O	Less: Accumulated depreciation	(57,450)	(45,750)	-11,700	2	Add to NI because depreciation expense does not affect cash
		$263,750	$217,450			
O	Accounts payable	$ 16,500	$ 19,000	-2,500	5	Subtract from net income the decrease in Accounts Payable
O	Wages payable	2,000	2,700	-700	6	Subtract from net income the decrease in Wages Payable
F	Note payable, long-term	56,300	71,000	-14,700	8	Cash used for repayment of note principal
F	Common stock and additional paid-in capital	103,950	65,900	+38,050	9	Issuance of stock for cash
O,F	Retained earnings	85,000	58,850	+26,150	1	Increased for net income amount of $26,800 Decreased for dividends declared & paid $650
		$263,750	$217,450			

Income statement for Current Year

Sales	$205,000
Cost of goods sold	123,500
Depreciation expense	11,700
Other expenses	43,000
Net Income	$ 26,800

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P12-1 (continued)

Sharp Screen Films, Inc.
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:				
Net income			$26,800	1
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation expense	$11,700	2		
Decrease in accounts receivable	6,100	3		
Increase in merchandise inventory	(5,450)	4		
Decrease in accounts payable	(2,500)	5		
Decrease in wages payable	(700)	6	9,150	
Net cash provided by operating activities			35,950	
Cash flows from investing activities:				
Cash payments to purchase property and equipment			(48,900)	7
Cash flows from financing activities:				
Cash payments on long-term note	(14,700)	8		
Cash payments for dividends	(650)	1		
Cash receipts from issuing stock	38,050	9		
Net cash provided by financing activities			22,700	
Net increase in cash during the year			9,750	10
Cash balance, January 1, current year			63,500	
Cash balance, December 31, current year			$73,250	

Req. 2

An overall increase in cash of $9,750 came from inflows of $35,950 from operating activities and a stock issuance of $38,050. A large percentage of the cash inflows were invested in equipment ($48,900), with $14,700 used to pay down long-term financing and $650 for dividends.

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P12–2.
Req. 1

Related Cash Flow Section	**Balance sheet at December 31**	**Current Year**	**Prior Year**	**Change**		
Δ in Cash	Cash	$ 37,000	$ 29,000	$ +8,000	10	Net increase in Cash
O	Accounts receivable	32,000	28,000	+4,000	3	Subtract from net income the increase in A/R
O	Merchandise inventory	41,000	38,000	+3,000	4	Subtract from net income the increase in Inventory
I	Property and equipment	132,000	111,000	+21,000	7	Payment in cash for equipment
O	Less: Accumulated depreciation	(41,000)	(36,000)	-5,000	2	Add back to NI because depreciation expense does not affect cash
		$201,000	$170,000			
O	Accounts payable	$ 36,000	$ 27,000	+9,000	5	Add to net income the increase in Accounts Payable
O	Accrued wage expense	1,200	1,400	-200	6	Subtract from net income the decrease in Accrued Wage Expense
F	Note payable, long-term	38,000	44,000	-6,000	8	Cash used for repayment of note principal
F	Common stock and additional paid-in capital	88,600	72,600	+16,000	9	Issuance of stock for cash
O,F	Retained earnings	37,200	25,000	+12,200	1	Increased for net income amount
		$201,000	$170,000			

Income statement for current year

Sales	$120,000
Cost of goods sold	70,000
Other expenses	37,800
Net Income	$ 12,200

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P12–2. (continued)

BGP Electrical Supply
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:				
Net income			$12,200	1
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation expense	$ 5,000	2		
Increase in accounts receivable	(4,000)	3		
Increase in merchandise inventory	(3,000)	4		
Increase in accounts payable	9,000	5		
Decrease in accrued wages expense	(200)	6	6,800	
Net cash provided by operating activities			19,000	
Cash flows from investing activities:				
Cash payments to purchase property and equipment			(21,000)	7
Cash flows from financing activities:				
Cash payments on long-term note	(6,000)	8		
Cash receipts from issuing stock	16,000	9		
Net cash provided by financing activities			10,000	
Net increase in cash during the year			8,000	10
Cash balance, January 1, current year			29,000	
Cash balance, December 31, current year			$37,000	

Req. 2

There was an increase in cash for BGP this year of $8,000. Operating activities provided a positive cash flow of $19,000. This inflow of cash from operating activities, combined with the stock issuance for $16,000 cash, allowed the company to invest $21,000 in fixed assets and pay down a long-term note by $6,000.

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P12–3.
Req.1

Related Cash Flow Section	Balance sheet at December 31	Current Year	Prior Year	Change		
Δ in Cash	Cash	$ 73,250	$ 63,500	$ +9,750	10	Net increase in Cash
O	Accounts receivable	15,250	21,350	-6,100	3	Add to sales to compute collections from customers
O	Merchandise inventory	23,450	18,000	+5,450	4	Add to CGS to compute cash paid to suppliers
I	Property and equipment	209,250	160,350	+48,900	7	Payment in cash for equipment
O	Less: Accumulated depreciation	(57,450)	(45,750)	-11,700	2	Add to NI because depreciation expense does not affect cash
		$263,750	$217,450			
O	Accounts payable	$ 16,500	$ 19,000	-2,500	5	Add to CGS to compute cash paid to suppliers
O	Wages payable	2,000	2,700	-700	6	Add to Wages Expense to compute payments for wages
F	Note payable, long-term	56,300	71,000	-14,700	8	Cash used for repayment of note principal
F	Common stock and additional paid-in capital	103,950	65,900	+38,050	9	Issuance of stock for cash
O,F	Retained earnings	85,000	58,850	+26,150	1	Increased for net income amount of $26,800 Decreased for dividends declared & paid $650
		$263,750	$217,450			

Income statement for current year

Sales	$205,000
Cost of goods sold	123,500
Depreciation expense	11,700
Other expenses	43,000
Net Income	$ 26,800

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P12-3. (continued)

Sharp Screen Films Inc.
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:			
Collections from customers ($205,000 + $6,100)	$211,100	3	
Payments to suppliers ($123,500 + $5,450 + $2,500)	(131,450)	4, 5	
Payments for wages ($43,000 + $700)	(43,700)	6	
Net cash provided by operating activities			$35,950
Cash flows from investing activities:			
Cash payments to purchase property and equipment			(48,900) 7
Cash flows from financing activities:			
Cash payments on long-term note	(14,700)	8	
Cash payments for dividends	(650)	1	
Cash receipts from issuing stock	38,050	9	
Net cash provided by financing activities			22,700
Net increase in cash during the year			9,750 10
Cash balance, January 1, current year			63,500
Cash balance, December 31, current year			$73,250

Req. 2

An overall increase in cash of $9,750 came from inflows of $35,950 from operating activities and a stock issuance of $38,050. A large percentage of the cash inflows were invested in equipment ($48,900), with $14,700 used to pay down long-term financing and $650 for dividends.

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P12–4.

Req. 1

OMEGA COMPANY
Cash Flows from Operating Activities
Direct Method
(in thousands)

Cash flows from operating activities:	
Cash receipts from customers	$ 22,780
Cash payments to suppliers	(10,512)
Cash payments for salaries	(4,055)
Cash payments for rent	(3,205)
Cash payments for insurance	(1,113)
Cash payments for utilities	(850)
Cash payments for bond interest	(450)
Net cash provided by operating activities	$ 2,595

Req. 2

OMEGA COMPANY
Cash Flows from Operating Activities
Indirect Method
(in thousands)

Cash flows from operating activities:		
Net loss		$ (220)
Adjustments to reconcile net loss to net cash provided by operating activities:		
Depreciation expense	$2,000	
Loss on sale of investments	650	
Decrease in accounts receivable	180	
Increase in merchandise inventory	(85)	
Increase in accounts payable	73	
Increase in salaries payable	15	
Decrease in rent payable	(6)	
Decrease in prepaid rent	1	
Increase in prepaid insurance	(13)	
Total adjustments		2,815
Net cash provided by operating activities		$2,595

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P12–5.

Req. 1

Related Cash Flow Section	Balance sheet at December 31	Current Year	Prior Year	Change		
Δ in Cash	Cash	$ 34,000	$ 29,000	$ 5,000	10	Net increase in Cash
O	Accounts receivable	35,000	28,000	+7,000	3	Subtract from net income the increase in A/R
O	Merchandise inventory	41,000	38,000	+3,000	4	Subtract from net income the increase in Inventory
I	Property and equipment	121,000	100,000	+21,000	7	Payment in cash for equipment $31,000 Original cost of equipment sold ($10,000)
O	Less: Accumulated depreciation	(30,000)	(25,000)	-5,000	2	Accumulated depreciation on equipment sold, $7,000 Add back $12,000 to NI because depreciation expense does not affect cash
		$201,000	$170,000			
O	Accounts payable	$ 36,000	$ 27,000	+9,000	5	Add to net income the increase in Accounts Payable
O	Wages payable	1,200	1,400	-200	6	Subtract from net income the decrease in Wages Payable
F	Note payable, long-term	38,000	44,000	-6,000	8	Cash used for repayment of note principal
F	Common stock and additional paid-in capital	88,600	72,600	+16,000	9	Issuance of stock for cash
O, F	Retained earnings	37,200	25,000	+12,200	1	Increased for net income amount
		$201,000	$170,000			

Income statement for current year	
Sales	$120,000
Gain on sale of equipment	1,000[11]
Cost of goods sold	70,000
Other expenses	38,800
Net Income	$ 12,200

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P12–5. (continued)

XS Supply Company
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:				
Net income			$12,200	1
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation expense	$ 12,000	2		
Gain on sale of equipment	(1,000)	11		
Increase in accounts receivable	(7,000)	3		
Increase in merchandise inventory	(3,000)	4		
Increase in accounts payable	9,000	5		
Decrease in wages payable	(200)	6	9,800	
Net cash provided by operating activities			22,000	
Cash flows from investing activities:				
Cash payments to purchase equipment	(31,000)	7		
Cash received from sale of equipment	4,000			
Net cash used by investing activities			(27,000)	
Cash flows from financing activities:				
Cash payments on long-term note	(6,000)	8		
Cash receipts from issuing stock	16,000	9		
Net cash provided by financing activities			10,000	
Net increase in cash during the year			5,000	10
Cash balance, January 1, current year			29,000	
Cash balance, December 31, current year			$34,000	

Req. 2

There was an increase in cash for XS Supply Company this year of $5,000. Operating activities provided a positive cash flow of $22,000. This inflow of cash from operating activities, combined with the $4,000 proceeds from sale of equipment and the stock issuance for $16,000 cash, allowed the company to invest $31,000 in new equipment and pay down a long-term note by $6,000.

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P12–6.
Req.1

Panel A: Changes in Cash Account

Cash (A)			
Operating			
(1) Net Income	7,000	3,000	(4) Inventory
(2) Depreciation	4,000		
(3) Accounts Receivable	2,000		
(5) Accounts Payable	6,000		
(6) Wages Payable	500		
Net cash provided by operating activities	16,500		
Investing			
		12,000	(7) Purchased Property, Plant & Equipment
		12,000	**Net cash used in investing activities**
Financing			
(9) Proceeds from Stock Issuance	18,500	6,000	(8) Payment of Long-term Note
		2,000	(10) Payment of Dividends
Net cash provided by financing activities	10,500		
Net increase in cash and cash equivalents	15,000		

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Panel B: Changes in Non-cash Accounts

Accounts Receivable (A)

Beg. bal.	28,000		
		(3) Decrease	2,000
End. bal.	26,000		

Inventory (A)

Beg. bal.	36,000		
(4) Increase	3,000		
End. bal.	39,000		

Accounts Payable (L)

		Beg. bal.	21,000
		(5) Increase	6,000
		End. bal.	27,000

Wages Payable (L)

		Beg. bal.	1,000
		(6) Increase	500
		End. bal.	1,500

Fixed Assets-net (A)

Beg. bal.	72,000		
(7) Purchases	12,000	(2) Depreciation	4,000
End. bal.	80,000		

Note Payable Long-Term (L)

		Beg. bal.	48,000
(8) Payments	6,000	Borrowings	0
		End. bal.	42,000

Common Stock (SE)

		Beg. bal.	60,000
Stock repurchased	0	(9) Stock issued	18,500
		End. bal.	78,500

Retained Earnings (SE)

		Beg. bal.	24,000
(10) Dividends	2,000	(1) Net income	7,000
		End. bal.	29,000

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P12–6. (continued)

Req. 2

HANKS COMPANY
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:		
Net income		$ 7,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation expense	$ 4,000	
Decrease in accounts receivable	2,000	
Increase in merchandise inventory	(3,000)	
Increase in accounts payable	6,000	
Increase in wages payable	500	
Total adjustments		9,500
Net cash provided by operating activities		16,500
Cash flows from investing activities:		
Cash payments to purchase fixed assets		(12,000)
Cash flows from financing activities:		
Cash payments on long-term note	(6,000)	
Cash receipts from issuing stock	18,500	
Cash payments for dividends	(2,000)	
Net cash provided by financing activities		10,500
Net increase in cash during the year		15,000
Cash balance, January 1, current year		18,000
Cash balance, December 31, current year		$33,000

Req. 3

There were no noncash investing and financing activities during the current year.

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ALTERNATE PROBLEMS

AP12–1.

Req. 1

Related Cash Flow Section	Balance sheet at December 31	Current Year	Prior Year	Change		
Δ in Cash	Cash	$ 34,000	$ 29,000	$ +5,000	10	Net increase in Cash
O	Accounts receivable	45,000	28,000	+17,000	3	Subtract from net income the increase in A/R
O	Merchandise inventory	32,000	38,000	–6,000	4	Add to net income the decrease in Inventory
I	Property and equipment	121,000	100,000	+21,000	7	Payment in cash for equipment
O	Less: Accumulated depreciation	(30,000)	(25,000)	–5,000	2	Add back to NI because depreciation expense does not affect cash
		$202,000	$170,000			
O	Accounts payable	$ 36,000	$ 27,000	+9,000	5	Add to net income the increase in Accounts Payable
O	Wages payable	2,200	1,400	+800	6	Add to net income the increase in Wages Payable
F	Note payable, long-term	40,000	46,000	–6,000	8	Cash used for repayment of note principal
F	Common stock and additional paid-in capital	86,600	70,600	+16,000	9	Issuance of stock for cash
O,F	Retained earnings	37,200	25,000	+12,200	1	Increased for net income of $27,200 and decreased for dividends declared and paid of $15,000
		$202,000	$170,000			

Income statement for current year	
Sales	$135,000
Cost of goods sold	70,000
Other expenses	37,800
Net Income	$ 27,200

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AP12–1. (continued)

Ingersol Construction Supply Company
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:			
Net income			$27,200 [1]
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation expense	$ 5,000	[2]	
Increase in accounts receivable	(17,000)	[3]	
Decrease in merchandise inventory	6,000	[4]	
Increase in accounts payable	9,000	[5]	
Increase in wages payable	800	[6]	3,800
Net cash provided by operating activities			31,000
Cash flows from investing activities:			
Cash payments to purchase fixed assets			(21,000) [7]
Cash flows from financing activities:			
Cash payments for dividends	(15,000)	[1]	
Cash payments on long-term note	(6,000)	[8]	
Cash receipts from issuing stock	16,000	[9]	
Net cash used by financing activities			(5,000)
Net increase in cash during the year			5,000 [10]
Cash balance, January 1, current year			29,000
Cash balance, December 31, current year			$34,000

Req. 2

There was an increase in cash for Ingersol Construction Supply Company this year of $5,000. Operating activities provided a positive cash flow of $31,000. This inflow of cash from operating activities, combined with the stock issuance for $16,000 cash, allowed the company to invest $21,000 in fixed assets, pay down a long-term note by $6,000, and pay dividends of $15,000.

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AP12–2.

Req.1

Related Cash Flow Section	Balance sheet at December 31	Current Year	Prior Year	Change		
Δ in Cash	Cash	$ 64,000	$ 65,000	-1,000	10	Net decrease in Cash
O	Accounts receivable	15,000	20,000	-5,000	3	Add to net income the decrease in A/R
O	Inventory	22,000	20,000	+2,000	4	Subtract from net income the increase in Inventory
I	Property and equipment	210,000	150,000	+60,000	7	Payment in cash for equipment
O	Less: Accumulated depreciation	(60,000)	(45,000)	-15,000	2	Add to NI because depreciation expense does not affect cash
		$251,000	$210,000			
O	Accounts payable	$ 8,000	$ 19,000	-11,000	5	Subtract from net income the decrease in Accounts Payable
O	Taxes payable	2,000	1,000	+1,000	6	Add to net income the increase in Taxes Payable
F	Note payable, long-term	86,000	75,000	+11,000	8	Borrow additional note principal
F	Common stock and additional paid-in capital	75,000	70,000	+5,000	9	Issuance of stock for cash
O,F	Retained earnings	80,000	45,000	+35,000	1	Increased for net income ($40,000) / decreased for dividends ($5,000)
		$251,000	$210,000			

Income statement for current year	
Sales	$190,000
Cost of goods sold	90,000
Other expenses	60,000
Net Income	$ 40,000

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AP12–2. (continued)

Audio House, Inc.
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:				
Net income			$40,000	1
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation expense	$15,000	2		
Decrease in accounts receivable	5,000	3		
Increase in inventory	(2,000)	4		
Decrease in accounts payable	(11,000)	5		
Increase in taxes payable	1,000	6	8,000	
Net cash provided by operating activities			48,000	
Cash flows from investing activities:				
Cash payments to purchase fixed assets			(60,000)	7
Cash flows from financing activities:				
Cash receipts from borrowing on long-term note	11,000	8		
Cash receipts from issuing stock	5,000	9		
Cash dividends paid	(5,000)	1		
Net cash provided by financing activities			11,000	
Net decrease in cash during the year			(1,000)	10
Cash balance, January 1, current year			65,000	
Cash balance, December 31, current year			$64,000	

Req. 2

There was an overall decrease in cash of $1,000. This resulted from an inflow of $48,000 from operating activities, borrowing on a long-term note of $11,000, and a stock issuance of $5,000. A large percentage of the cash inflow was invested in equipment ($60,000) and $5,000 was paid as dividends.

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AP12–3.

Req. 1

Related Cash Flow Section	Balance sheet at December 31	Current Year	Prior Year	Change		
Δ in Cash	Cash	$ 34,000	$ 29,000	$ +5,000	10	Net increase in Cash
O	Accounts receivable	45,000	28,000	+17,000	3	Subtract from Sales to compute collections from customers
O	Merchandise inventory	32,000	38,000	-6,000	4	Subtract from CGS to compute payments to suppliers
I	Property and equipment	121,000	100,000	+21,000	7	Payment in cash for equipment
O	Less: Accumulated depreciation	(30,000)	(25,000)	-5,000	2	Depreciation expense does not affect cash
		$202,000	$170,000			
O	Accounts payable	$ 36,000	$ 27,000	+9,000	5	Subtract from CGS to compute payments to suppliers
O	Wages payable	2,200	1,400	+800	6	Subtract from Wages Expense to compute payments for wages
F	Note payable, long-term	40,000	46,000	-6,000	8	Cash used for repayment of note principal
F	Common stock and additional paid-in capital	86,600	70,600	+16,000	9	Issuance of stock for cash
O,F	Retained earnings	37,200	25,000	+12,200	1	Increased for net income of $27,200 and decreased for dividends declared and paid of $15,000
		$202,000	$170,000			

Income statement for current year

Sales	$135,000
Cost of goods sold	70,000
Other expenses	37,800
Net Income	$ 27,200

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AP12–3. (continued)

Ingersol Construction Supply Company
Statement of Cash Flows
For the Year Ended December 31, current year

Cash flows from operating activities:			
Collections from customers ($135,000 – $17,000)	$118,000	3	
Payments to suppliers ($70,000 – $6,000 – $9,000)	(55,000)	4,5	
Payments for wages ($20,000 – $800)	(19,200)	6	
Payments for other expenses	(6,800)		
Payments for taxes	(6,000)		
Net cash provided by operating activities			$ 31,000
Cash flows from investing activities:			
Cash payments to purchase fixed assets			(21,000) 7
Cash flows from financing activities:			
Cash payments for dividends	(15,000)	1	
Cash payments on long-term note	(6,000)	8	
Cash receipts from issuing stock	16,000	9	
Net cash used by financing activities			(5,000)
Net increase in cash during the year			5,000 10
Cash balance, January 1, current year			29,000
Cash balance, December 31, current year			$ 34,000

Req. 2

There was an increase in cash for Ingersol Construction Supply Company this year of $5,000. Operating activities provided a positive cash flow of $31,000. This inflow of cash from operating activities, combined with the stock issuance for $16,000 cash, allowed the company to invest $21,000 in fixed assets, pay down a long-term note by $6,000, and pay dividends of $15,000.

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AP 12-4.

Req. 1

ATHENA COMPANY
Cash Flows from Operating Activities
Direct Method
(in thousands)

Cash flows from operating activities:	
Cash receipts from customers	$ 64,750
Cash payments to suppliers	(32,150)
Cash payments for salaries	(12,140)
Cash payments for rent	(9,040)
Cash payments for insurance	(3,570)
Cash payments for utilities	(2,400)
Cash payments for bond interest	(2,250)
Net cash provided by operating activities	$ 3,200

Req. 2

ATHENA COMPANY
Cash Flows from Operating Activities
Indirect Method
(in thousands)

Cash flows from operating activities:		
Net loss		$ (5,300)
Adjustments to reconcile net loss to net cash provided by operating activities:		
Depreciation expense	$7,500	
Loss on sale of investments	1,050	
Increase in accounts receivable	(150)	
Decrease in merchandise inventory	130	
Increase in accounts payable	20	
Decrease in salaries payable	(40)	
Increase in rent payable	10	
Increase in prepaid rent	(50)	
Decrease in prepaid insurance	30	
Total adjustments		8,500
Net cash provided by operating activities		$ 3,200

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AP12-5.

Related Cash Flow Section	Balance sheet at December 31	Current Year	Prior Year	Change		
Δ in Cash	Cash	$ 57,000	$ 61,000	$ -4,000	10	Net decrease in Cash
O	Accounts receivable	37,000	41,000	-4,000	3	Add to net income the decrease in A/R
O	Merchandise inventory	63,000	57,000	+6,000	4	Subtract from net income the increase in Inventory
I	Property and equipment	65,000	39,000	+26,000	7	Payment in cash for equipment $40,000 Original cost of equipment sold ($14,000)
O	Less: Accumulated depreciation	(38,000)	(26,000)	-12,000	2	Accumulated depreciation on equipment sold, $10,000 Add back $22,000 to NI because depreciation expense does not affect cash
		$184,000	$172,000			
O	Accounts payable	$ 42,000	$ 38,000	+4,000	5	Add to net income the increase in Accounts Payable
O	Wages payable	3,000	12,000	-9,000	6	Subtract from net income the decrease in Wages Payable
F	Note payable, long-term	22,000	30,000	-8,000	8	Cash used for repayment of note principal
F	Common stock and additional paid-in capital	67,000	58,000	+9,000	9	Issuance of stock for cash
O, F	Retained earnings	50,000	34,000	+16,000	1	Increased for net income amount
		$190,000	$172,000			

Income statement for current year

Sales	$165,000
Gain on sale of equipment	2,000[11]
Cost of goods sold	(102,000)
Other expenses	(49,000)
Net Income	$ 16,000

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AP12-5 (continued)

Golden Deer Company
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:				
Net income			$16,000	1
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation expense	$ 22,000	2		
Gain on sale of equipment	(2,000)	11		
Decrease in accounts receivable	4,000	3		
Increase in merchandise inventory	(6,000)	4		
Increase in accounts payable	4,000	5		
Decrease in wages payable	(9,000)	6	13,000	
Net cash provided by operating activities			29,000	
Cash flows from investing activities:				
Cash payments to purchase equipment	(40,000)	7		
Cash received from sale of equipment	6,000			
Net cash used by investing activities			(34,000)	
Cash flows from financing activities:				
Cash payments on long-term note	(8,000)	8		
Cash receipts from issuing stock	9,000	9		
Net cash provided by financing activities			1,000	
Net decrease in cash during the year			(4,000)	10
Cash balance, January 1, current year			61,000	
Cash balance, December 31, current year			$57,000	

Req. 2

There was a decrease in cash for Golden Deer Company this year of $4,000. Operating activities provided a positive cash flow of $29,000. This inflow of cash from operating activities, combined with the $6,000 proceeds from sale of equipment and the stock issuance for $9,000 cash, allowed the company to invest $40,000 in new equipment and pay down a long-term note by $8,000.

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AP12-6

Cash A		
Operating		
(1) Net Income	17,000	5,000 (3) Accounts Receivable
(2) Depreciation	7,000	11,000 (4) Inventory
(5) Accounts Payable	7,000	
(6) Wages Payable	1,000	
Net cash flow provided by operating activities	16,000	
Investing		17,000 (7) Purchases of Property, Plant, & Equipment
		17,000 **Net cash used in investing activities**
Financing		
(9) Issuance of Stock	20,000	10,000 (8) Repayments
		5,000 (10) Payment of Dividends
Net cash provided by financing activities	5,000	
Net increase in cash and cash equivalents	4,000	

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AP12-6 (continued)

Panel B: Changes in Noncash Accounts

Accounts Receivable (A)

Beg. bal	29,000		
(3) Increase	5,000		
End. bal	34,000		

Inventory (A)

Beg. bal	44,000		
(4) Increase	11,000		
End. bal	55,000		

Accounts Payable (L)

		Beg. bal	12,000
		(5) Increase	7,000
		End. bal	19,000

Wages Payable (L)

		Beg. bal	4,000
		(6) Increase	1,000
		End. bal	5,000

Property, Plant & Equipment, Net (A)

Beg. bal	30,000	(2) Depreciation	7,000
(7) Purchases	17,000		
End. bal	40,000		

Long-Term Debt (L)

		Beg. bal	45,000
(8) Repayment	10,000		
		End. bal	35,000

Common Stock & Additional Paid-In Capital (SE)

		Beg. bal	58,000
		(9) Stock issued	20,000
		End. bal	78,000

Retained Earnings (SE)

		Beg. bal	20,000
(10) Dividends	5,000	(1) Net income	17,000
		End. bal	32,000

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MURRAY COMPANY
Statement of Cash Flows
For the Year Ended December 31, Current Year

Cash flows from operating activities:		
Net income		$17,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation expense	$ 7,000	
Increase in accounts receivable	(5,000)	
Increase in merchandise inventory	(11,000)	
Increase in accounts payable	7,000	
Increase in wages payable	1,000	
Total adjustments		(1,000)
Net cash provided by operating activities		16,000
Cash flows from investing activities:		
Cash payments to purchase fixed assets		(17,000)
Cash flows from financing activities:		
Cash payments on long-term debt	(10,000)	
Cash receipts from issuing stock	20,000	
Cash payments for dividends	(5,000)	
Net cash provided by financing activities		5,000
Net increase in cash during the year		4,000
Cash balance, January 1, current year		36,000
Cash balance, December 31, current year		$40,000

Req. 3

There were no noncash investing and financing activities during the current year.

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CONTINUING PROBLEM

CON12-1.

POOL CORPORATION
Consolidated Statements of Cash Flows
for the year ended December 31
(In thousands)

Operating activities	
Net income	$ 71,993
Adjustments to reconcile net income to net cash provided by operating activitites:	
Depreciation	9,746
Amortization	1,559
Loss on sale of property and equipment	263
Changes in operating assets and liabilities	
Receivables	(5,887)
Product inventories	(35,339)
Prepaid expenses	(2,951)
Other operating assets	8,635
Accounts payable	6,402
Accrued expenses and other current liabilities	20,682
Net cash provided by operating activities	75,103
Investing activities	
Acquisition of businesses	(5,934)
Purchases of property and equipment	(19,844)
Sale of property and equipment	200
Net cash used in investing activities	(25,578)
Financing activities	
Proceeds from revolving line of bank credit	749,349
Payments on revolving line of bank credit	(700,749)
Payments on long-term debt and other long-term liabilities	(149)
Other financing activities	944
Proceeds from stock issued under share-based compensation plans	13,085
Payments of cash dividends	(26,470)
Purchases of treasury stock	(77,769)
Net cash used in financing activities	(41,759)
Change in cash and cash equivalents	7,766
Cash and cash equivalents at beginning of year	9,721
Cash and cash equivalents at end of year	$ 17,487

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CASES AND PROJECTS
ANNUAL REPORT CASES

CP12–1.

1. c.
2. c.
3. a.
4. $1,804.

Cash Provided by Operations	$8,621
Less: Dividends	(2,011)
Less: Expenditures for property and Equipment	(4,806)
Free Cash Flow	$1,804

CP12–2.

1. a.
2. c.
3.
   - ☒ Yes $18,406
   - ☐ No
4. d.

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CP12–3.

1.

Target = 2.08 Walmart = 2.20

		Target	Walmart
Quality of income ratio	= Cash flow from operations / Net income	$8,621 / $4,138 = 2.08	$35,726 / $16,270 = 2.20

Walmart has a higher, and therefore better, quality of income ratio than does Target. It is better able to generate cash from operating activities per dollar of net income.

2. a. Target and Walmart are generating more cash from operating activities per dollar of net income than the industry average.

	Industry Average	Target	Walmart
Quality of Income =	1.71	2.08	2.20

3.

Target = 1.79 Walmart = 1.73

☒ Target has a greater ability to finance purchases of property, plant, and equipment with cash provided by operating activities.

☐ Walmart has a greater ability to finance purchases of property, plant, and equipment with cash provided by operating activities.

		Target	Walmart
Capital acquisitions ratio	= Cash flow from operations / Cash paid for plant & equipment	$8,621 / $4,806 = 1.79	$35,726 / $20,606 = 1.73

4. a. Target and Walmart are less able to finance purchases of property, plant, and equipment with cash provided by operating activities than the industry average.

	Industry Average	Target	Walmart
Capital Acquisitions =	2.51	1.79	1.73

Both Target and Walmart's capital acquisitions ratios are lower than the industry average. This implies their relatively lower ability to fund their current levels of capital

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expenditures from the cash flow provided by their operating activities compared to the average company in the industry.

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FINANCIAL REPORTING AND ANALYSIS CASES

CP12–4.

ROCKY MOUNTAIN CHOCOLATE FACTORY, INC.
Statement of Cash Flows
For the Quarter Ended May 31

Cash flows from operating activities:	
Net income	$ 163,837
Add (deduct) to reconcile net income to net cash flow:	
Depreciation expense	276,304
Amortization expense	5,901
Accounts receivable increase	(138,681)
Inventories increase	(243,880)
Other current assets increase	(357,507)
Accounts payable increase	280,935
Accrued liabilities increase	164,087
Income taxes payable decrease	(43,031)
Notes and accounts receivable due after one year decrease	11,382
Net cash inflow from operating activities	119,347
Cash flows from investing activities:	
Property and equipment purchased	(1,081,121)
Other assets decrease	50,055
Net cash outflow from investing activities	(1,031,066)
Cash flows from financing activities:	
Repayment of short-term debt	(1,000,000)
Repayment of long-term debt	(2,355,029)
Issuance of long-term debt	4,659,466
Net cash inflow from financing activities	1,304,437
Net increase in cash during the quarter	392,718
Cash and cash equivalents, February 29	528,787
Cash and cash equivalents, May 31	$ 921,505

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CP12–5.

Date: (today's date)
To: Supervising Analyst
From: (your name)
Re: Evaluation of Carlyle Golf, Inc.'s Planned Expansion

While many companies experience losses and negative cash flows during the early years of their operations, the cash situation for Carlyle Golf is a major concern. The company has announced plans to increase inventory by $2.2 million but there is no obvious source to finance the acquisition of this inventory. The statement of cash flows shows that the company has to make cash deposits with its suppliers. It is unlikely that these suppliers will be a major source of financing for Carlyle's inventory. The company obviously does not have enough cash on hand to finance its expansion of inventory.

The planned expansion of inventory has additional implications. The company must have plans to expand its sales volume. There is no information in the company's report concerning whether this expansion will require additional expenditures, such as increased advertising or hiring new sales people. In any case, the expansion will most likely require an increase in accounts receivable. Most companies underestimate the amount of resources that must be tied up in inventory and accounts receivable when they expand sales volume.

Carlyle should seek additional capital to support an increased level of operations. Without this extra capital, it is unlikely that Carlyle can continue in business.

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CRITICAL THINKING CASE

CP12–6.

Req. 1

The payment from Merrill Lynch to Enron does not automatically make the Nigerian barge transaction a sale. When a loan is established between a lender and borrower, a similar cash payment is made between the two parties. Two other features of the Nigerian barge transaction resemble a loan. First, the requirement that Enron arrange for Merrill Lynch to be paid only six months after the "sale" is similar to a possible requirement that a borrower repay a lender six months after a borrower receives cash in conjunction with signing a promissory note. Second, the "hefty fee" paid by Enron for temporarily obtaining the use of Merrill Lynch's funds is similar to interest that is paid by a borrower for temporarily obtaining the use of a lender's funds.

The four revenue recognition criteria discussed in Chapter 3 are:

1) delivery has occurred or services have been rendered,
2) there is persuasive evidence of an arrangement for customer payment,
3) the price is fixed or determinable, and
4) collection is reasonably assured.

Without knowing about the secret side deal, it's not obvious which of the four criteria have not been fulfilled. Knowing about the side deal, however, makes it clear that the first criterion has not been fulfilled. At the time of the initial transaction (and receipt of cash from Merrill Lynch) Enron had a continuing obligation to ensure that Merrill Lynch was repaid six months later. In other words, Enron had not performed all of the acts promised to Merrill Lynch.

Req. 2

By recording the transaction as a regular sale, Enron reports the cash received as a cash inflow from an operating activity. Had the transaction been recorded as a loan, Enron would have reported the cash received as a cash inflow from a financing activity.

Req. 3

Most financial statement users view cash flows from operating activities as recurring sources of cash into the future. If $100,000 of cash is generated from operations this year, it's often reasonable to expect that a similar amount will be generated next year and the year after that and the year after that. Financing activities, on the other hand, are not as readily recurring in the future, particularly as a company takes on more and more debt. Eventually, lenders will stop lending if a company's liabilities grow too large. Given these different perceptions, financial statement users attach more value to cash generated from operating activities than from financing activities. Thus, when the

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transaction is recorded as a sale, financial statement users will perceive the company's value as greater than when the transaction is recorded as a loan.

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YOU AS ANALYST: ONLINE COMPANY RESEARCH

CP12–7.

The solutions to this case will depend on the company and/or accounting period selected for analysis.

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